

# **1. Business Understanding Report**

## **Telco Customer Churn Analysis**

### **1. Business Problem**

Customer churn is a major challenge for telecommunications companies because losing existing customers can reduce recurring revenue and increase the cost of acquiring new customers.

This project analyzes customer data to understand the factors associated with customer churn and identify customer groups that are more likely to leave the company.

### **2. Project Objective**

The main objectives of this analysis are to:

- Understand the overall customer churn rate.
- Identify the characteristics of customers who churn.
- Determine which customer segments have higher churn rates.
- Analyze how contract type, tenure, services, payment methods, and charges relate to churn.
- Provide actionable recommendations that management can use to improve customer retention.

### **3. Key Business Questions**

The analysis aims to answer the following questions:

1. What percentage of customers have churned?
2. Which customer groups have the highest churn rate?
3. Does contract type influence customer retention?
4. How does customer tenure relate to churn?
5. Do monthly and total charges influence churn?
6. Which payment methods are associated with higher churn?
7. Do internet and additional services affect customer retention?

8. Which customers should management prioritize for retention efforts?
9. What actions should management take to reduce customer churn?

#### 4. Key Metrics

The following metrics will be used:

- **Churn Rate:** Percentage of customers who have left the company.
- **Retention Rate:** Percentage of customers who remain with the company.
- **Customer Tenure:** Number of months a customer has stayed with the company.
- **Monthly Charges:** Amount paid by a customer each month.
- **Total Charges:** Total amount charged to the customer.
- **Churn Rate by Contract Type:** Comparison of churn across contract categories.
- **Churn Rate by Tenure Group:** Comparison of churn among different customer tenure groups.

#### 5. Stakeholders

The analysis can support:

- **Management** — to make customer retention decisions.
- **Marketing Teams** — to design targeted retention campaigns.
- **Customer Service Teams** — to identify customers who may need additional support.
- **Finance Teams** — to understand the potential revenue impact of customer churn.
- **Business Analysts** — to monitor churn patterns and customer behavior.

#### 6. Expected Outcome

The analysis is expected to identify the main factors associated with customer churn and reveal the customer segments that are most at risk of leaving.

The findings will be used to develop practical retention strategies, such as targeted offers, improved onboarding, contract incentives, and proactive customer engagement.

## **7. Business Value**

Reducing customer churn can help the company:

- Retain recurring revenue.
- Improve customer lifetime value.
- Reduce customer acquisition costs.
- Improve customer satisfaction and loyalty.
- Strengthen long-term customer relationships.